

HRMAGIX022 - Payment Increment Policy

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🔍 Reviewed by: Rahul R Jadhav

1. Introduction

The Payment Increment Policy outlines the structure and guidelines for employee salary increments at hrmagix. This policy ensures transparency, fairness, and consistency in rewarding employees for their contribution and performance.

At HR Magix, we believe in recognizing employee dedication, performance, and long-term commitment to the organization. Salary increments are provided based on predefined criteria and company performance standards.

This policy applies to all eligible full-time employees of hrmagix.

2. Purpose & Scope

The purpose of this policy is to:

- Establish a structured salary increment framework.
- Reward employee performance and loyalty.
- Ensure fairness and transparency in compensation growth.
- Align employee growth with company objectives.

This policy applies to all permanent employees who have completed the required eligibility period.

3. Types of Salary Increments

3.1 Yearly Increment

- Employees who complete one year of continuous service with the company will be eligible for a 10% annual increment on their current gross salary.
 - The yearly increment will be effective from the completion date of one year or as per the company's annual salary revision cycle.
 - Employees must have satisfactory performance and no major disciplinary actions to qualify.
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3.2 Performance-Based Increment

In addition to the yearly increment, employees may receive a 5% performance-based increment based on:

- Individual performance evaluation
- Achievement of assigned targets
- Quality of work and productivity
- Attendance and punctuality
- Team collaboration and professional conduct

Performance reviews will be conducted by reporting managers and HR before approval from management.

The performance-based increment is discretionary and subject to management approval.

4. Eligibility Criteria

To qualify for salary increment:

- The employee must complete at least 12 months of continuous service.
 - The employee must not be under any disciplinary action at the time of review.
 - Performance rating must meet the company's satisfactory standards.
 - The employee must comply with all company policies.
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5. Increment Approval Process

- Reporting Manager conducts performance evaluation.
 - HR reviews attendance, behavior, and policy compliance.
 - Final approval is granted by management.
 - Salary revision confirmation will be communicated in writing via official email.
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6. Exceptions

- Management reserves the right to delay, revise, or withhold increments based on company financial performance or employee conduct.
 - In case of promotion, a separate salary revision structure may apply.
 - Employees serving notice period are not eligible for increment.
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7. Communication

- The increment structure will be explained during onboarding.
 - Increment letters will be shared individually with eligible employees.
 - Any queries regarding salary increment should be directed to the HR department.
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8. Review & Update

- This policy will be reviewed periodically.
 - Amendments may be made to align with business requirements and financial conditions.
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